

DISSENTING OPINION BY M. URRUTIA.

[*Translation.*]

The Application of the Belgian Government against the Bulgarian State in regard to the Electricity Company of Sofia and Bulgaria declares that that Government, for the purposes of proceedings before the Court, relied upon :

(1) the declarations of adherence made by Belgium and Bulgaria to the optional clause accepting as compulsory the jurisdiction of the Court, which declarations were respectively ratified on March 10th, 1926, and August 12th, 1921 ;

(2) the Treaty of conciliation, arbitration and judicial settlement concluded between the two countries on June 23rd, 1931.

In the Statement of the Law contained in the Belgian Memorial (p. 18), the Court's jurisdiction was derived in the first place from Article 4 of the said Treaty of conciliation, arbitration and judicial settlement, but the Memorial added : "In addition, if a further source were necessary, the Belgian Government bases the jurisdiction of the Permanent Court of International Justice upon the declarations by which Belgium and Bulgaria adhered to the optional clause of the Statute of the Court", etc.

In the Statement of Facts in the same Memorial (p. 17), reference is made to the note sent by the Belgian Minister in Sofia to the Bulgarian Minister for Foreign Affairs on June 24th, 1937 (Annex 56 of the Belgian Memorial), in which the Belgian Minister notified the intention of his Government to submit the dispute to the Court, "the present dispute falling within the class of those which Articles 4 and 6 of the Treaty of conciliation concluded between Bulgaria and Belgium on June 23rd, 1931, permit to be submitted unilaterally to the Permanent Court of International Justice", etc.; in brackets these words are added : "(whose compulsory jurisdiction Bulgaria moreover accepted under the optional clause on August 27th, 1921)".

The Belgian Government's Additional Memorial states that the Treaty of conciliation, arbitration and judicial settlement is, *in the second place*, the basis of the Court's jurisdiction. The Statement of Law in the Memorial of the Bulgarian Government introducing its preliminary objection implies that the Bulgarian Government also understood the Belgian Application in this sense.

It would appear that the first question to be asked in order that the Court may establish its jurisdiction is whether the Bulgarian Government's objection is to be settled on the basis

of the Treaty already several times mentioned or on that of the optional clause or on the two texts conjointly.

Me. Rolin, Counsel for the Belgian Government, speaking in Court in the morning of March 1st, 1939, expressed his views on this question and concluded as follows:

"Until February 3rd, 1933, our relations were governed by the optional clause, subject to the conditions specified in our respective declarations of acceptance.

From February 3rd, 1933—the date of the coming into force of the Treaty of 1931—till February 3rd, 1938, our relations were governed by that Treaty.

From February 3rd, 1938, up to the present time, our relations are again governed by the optional clause."

"It seems rather strange that, after the written proceedings and after the arguments which you have heard, you should be invited to decide as to your jurisdiction in a single dispute between two States on the basis of two series of documents which have been examined in succession, just as if there were two clauses in force during the said period between Belgium and Bulgaria having to be applied in a separate manner, two documents unrelated to one another, two systems of rules to which you are invited to refer in succession.... *It seems to me preposterous* to suppose that it was the intention of Belgium and Bulgaria to create another additional system which would be in force during the same period as the optional clause that already bound us, and would have cumulative effect."

At the afternoon hearing of the same day, Me. Rolin modified his earlier opinion and expressed another view to the effect that "in this second intermediate period—during which Belgium filed her Application—the Court should take into consideration the optional clause together with any *amendments* to it effected by the Treaty between Belgium and Bulgaria" (*Exposés oraux*, Distr. 4225).

M. Altinoff, Agent for the Bulgarian Government, disputed the arguments adduced by Me. Rolin in his first statement and, according to the Bulgarian Agent, the Treaty of arbitration, conciliation, etc., between Belgium and Bulgaria *makes no change so far as concerns judicial settlement and leaves the previous situation wholly intact*.

In order to decide this question, the Court is not obliged to adopt the legal ground taken up by either Party, but is quite free to reach a decision in accordance with its own judgment, even if both Parties defend the same legal argument, should the Court consider that that argument lacks foundation.

It is not only the right, but the duty of the Court *ex officio* to make sure of its jurisdiction, that is of its power to take

cognizance of a case in accordance with the texts governing the said jurisdiction (Art. 53 of the Statute).

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Bulgaria's declaration accepting the jurisdiction of the Court under Article 36 of the Court's Statute was signed on July 29th, 1921; it was ratified on August 12th, 1921, and contains no reservation, but only the general condition of reciprocity.

The declaration by Belgium is limited to fifteen years in any disputes arising after the ratification with regard to situations or facts subsequent to this ratification, except in cases where the Parties have agreed or shall agree to have recourse to another method of pacific settlement.

The Belgian declaration was ratified on March 10th, 1926, which date fixes the entry into force as between Belgium and Bulgaria of the aforesaid declarations, under the reciprocity clause.

The Treaty of conciliation, arbitration and judicial settlement signed between Bulgaria and Belgium on June 23rd, 1931, was ratified on February 4th, 1933. It was denounced on August 3rd, 1937, and expired on February 4th, 1938, in accordance with Article 37.

The adherence of the two Parties to Article 36 of the Statute of the Court is equivalent in law to an international agreement between them within the limits fixed by the reservations in the Belgian declaration. The undertaking could be modified either by extending or restricting the obligations, or by supplementary provisions embodied in some later agreement.

The said Treaty between Belgium and Bulgaria defined and amplified the mutual undertakings following from their acceptance of Article 36 of the Court's Statute through the introduction of fresh provisions for judicial settlement, through the creation of a supplementary legal system in relation with the said settlement.

The reservation *ratione temporis* contained in the Belgian declaration cannot be invoked during the current period of the 1931 Treaty. It is surely out of the question to apply simultaneously, in the same dispute and by the same court, one treaty stipulation excluding certain disputes from judicial settlement, and another stipulation providing for them. One stipulation or the other must prevail. In the present case it is the Treaty, which is a *later law* between the Parties, a *special law*, the text of which is so perfectly clear that there can be no choice of construction, still less any confusion.

Under Article 3 of the said Treaty, the High Contracting Parties agreed to establish certain special conditions before

an application could be submitted to the Court. This Article, which is Article 31 in the General Act of conciliation, arbitration and judicial settlement adopted by the Assembly of the League of Nations on September 26th, 1928, laid down an express condition governing an appeal to the compulsory jurisdiction of the Court as accepted in the declarations relating to that jurisdiction in accordance with Article 36 of the Statute. That condition, which appears in one form or another in the many treaties which followed the General Act, means that the High Contracting Parties, by a solemn and positive act, accept that principle of international law concerning exhaustion of internal remedies, a principle already generally acknowledged as one of those to which paragraph 3 of Article 38 of the Court's Statute refers, and which the Court recently confirmed so happily in its recent judgment in the case of the Panevezys-Saldutiskis Railway between Estonia and Lithuania.

The application of the ordinary rule of international law concerning exhaustion of local remedies, which in my opinion is binding in connection with the introduction of any application whatever to the Court under the optional clause, is in the present case altogether inevitable, arising as it does out of the express stipulation of a treaty. Article 38 of the Court's Statute mentions as the first of the sources of law to be applied: international conventions establishing *rules expressly recognized by the contesting States*.

Accordingly, for as long as the 1931 Treaty was in force, Article 3 is the Article which must govern the jurisdiction of the Court in the case of an application filed by one of the High Contracting Parties. If the Parties, by merely invoking the acceptance of the Court's jurisdiction contained in their declarations of adherence, could set aside this fundamental clause in the Treaty, the latter would have a purely academic value and no practical efficacy whatever.

Article 7 of the 1931 Treaty also inserted a new and additional clause connected with the judicial settlement of any dispute between the High Contracting Parties. It was provided that, if conciliation failed, a certain time must elapse before an application could be submitted to the Court.

Articles 33 and 34 of the Treaty contain further provisions concerning judicial settlement.

The Treaty established a whole legal system supplementing and determining the exercise of the Court's compulsory jurisdiction as accepted by the Parties. The latter did not forget their declarations of adherence, and Article 4 of the Treaty expressly provides that the disputes to which it refers include

in particular those mentioned in Article 36 of the Statute of the Permanent Court of International Justice. Article 31 of the Treaty also refers to the rules in regard to the substance of the dispute indicated in Article 38 of the Statute. It may therefore be concluded that the Parties intended to incorporate the general system of law arising out of the acceptance of the Court's compulsory jurisdiction within another system more precise and more comprehensive and which the Parties no doubt thought best adapted to their mutual interests.

The Treaty cannot be said to have cancelled, abrogated or suspended the legal effects of the declarations, but it made them subject to such conditions that, during the term of the Treaty, the Court's jurisdiction may only be exercised in accordance with those conditions.

If it were to be allowed that two provisions, governing the jurisdiction of the Court in a different and even a contrary manner, were simultaneously applicable, it would follow that the Court can possess jurisdiction in a certain case under one of these provisions, while possessing no jurisdiction under another. Such a situation seems to me hardly permissible from the legal point of view, nor, I think, would it accord with the wish of the Parties as expressed in the text of the instruments by which they are bound.

If it is inadmissible under municipal law that the jurisdiction of the Court should be governed by one law which establishes its jurisdiction and by another law which excludes it, it is equally impossible to contemplate a parallel situation in international law.

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Adherence to Article 36 of the Court's Statute by several States, provided for in that Article, was a long step towards what is called compulsory arbitration. This provision to some extent realized the hopes of several countries which wished the compulsory jurisdiction of the Court to be incorporated within the Statute itself. It was decided, however, that this general system was to be supplemented and completed by multilateral or bilateral agreements exactly defining the obligations of the parties. It was this purpose which inspired the recommendations of the Assembly of the League of Nations adopted on October 2nd, 1924, and September 25th, 1926, and, finally, the drafts of the General Act of conciliation, arbitration and judicial settlement and of the model conventions annexed thereto, voted by the Assembly of 1928.

The question raised in the case now before the Court involves a legal problem of great importance to the proper understanding

of the relations existing between the optional clause and the said conventions, and the Court's decision will certainly be very carefully examined by all the signatory States.

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On January 25th, 1938, the day on which the Belgian Application was filed with the Court, the Treaty of 1931 was still in force, and the provisions of that Treaty concerning judicial methods must determine the jurisdiction of the Court in this case.

In my opinion, Belgium could not submit her Application, for as long as the said treaty was in force, without taking account of its provisions.

Bulgaria, too, in her preliminary objection, was bound to discuss the jurisdiction of the Court in the light of the treaty provisions.

The Bulgarian Government bases its objection to the jurisdiction of the Court on Article 3 of the said Treaty. The Belgian Government, both in its written memorials and in its oral pleadings, accepted the Bulgarian Government's objection as an objection to the jurisdiction of the Court, which it in fact is, since the said jurisdiction emanates from the text of the Treaty.

The above-mentioned Article 3 lays down the following conditions in order that one of the Parties may object to the submission of an application to the Court:

1. If the dispute is one the occasion of which, according to the municipal law of one of the High Contracting Parties, falls within the competence of the judicial or administrative authorities of the objecting Party.

2. If the dispute has not been settled by means of a decision with final effect pronounced within a reasonable time by the competent authority.

3. If the applicant Party has not notified the other Party of its intention within a period of one year from the date of the aforementioned decision.

The present dispute appears to me to fall within the competence of the Bulgarian judicial authorities for the following reasons.

The Belgian Government recognized the jurisdiction of the Bulgarian courts in the Belgian Minister's letter to the Bulgarian Prime Minister dated April 22nd, 1937 (Bulgarian Memorial, No. 37).

The Electricity Company of Sofia also recognized that jurisdiction, as is confirmed by the Belgian Minister in the afore-

said note, and also by the very fact of having instituted proceedings before the courts.

The Agent for the Belgian Government acknowledged that jurisdiction both in the written memorials and in the oral pleadings. The Belgian Government's Additional Memorial contains this important statement: "Moreover, far from the Belgian Government having claimed to withdraw from the examination of the Bulgarian courts a dispute which *fell legally within their jurisdiction*, it is a fact that at the time when the Application was filed, two Bulgarian instances had delivered final judgments."

According to universally admitted rules of international law, "property rights and *contractual rights* depend on municipal law and fall therefore more particularly within the jurisdiction of municipal tribunals". That is a quotation from the Court's last judgment (Panevezys-Saldutiskis Railway).

The Court also laid down in that judgment that the question whether the courts of a country do or do not possess jurisdiction in a given case depends upon the law of that country and that on that matter only the said courts can give a final decision.

There is no need to enter into the merits of this dispute in order to appreciate what is already evident, namely that the rights in question are contractual rights between the Municipality of Sofia and a Belgian electricity company.

I also consider that Belgium filed her Application before the Bulgarian courts had delivered a final judgment, for these reasons.

The judgment by the Court of Cassation might have quashed the judgment of the Court of Appeal and have referred the case for re-examination by two new courts.

The Sofia Electricity Company lodged an appeal with the Court of Cassation for the very purpose of securing a fresh examination of the dispute by the Bulgarian courts.

The Belgian Government's Memorial itself admits by implication that this appeal to the Court of Cassation was its last remedy (pp. 20 and 36 of the Belgian Memorial). The Belgian Memorial concludes as follows:

"May it please the Court, subject to any fuller submissions that may be made in the course of the proceedings,

A. To declare that the State of Bulgaria has failed in its international obligations,

1.

2. By reason of the above-mentioned judgments of the District Court and of the Court of Appeal of Sofia and of the judgment of the Court of Cassation given on March 16th, 1938...."

The argument whereby an appeal to a court of cassation does not prevent the application of the local redress rule would have as its result that the same dispute might be dealt with simultaneously by a municipal tribunal and an international court.

As regards *reasonable time-limits* for the delivery of the final judgment by the national courts, the Belgian Government has made no observations and could not do so in its Application, because at the time when it was filed it was still not known when the Court of Cassation would deliver its judgment. For the rest, that judgment was given within less than nine months.

The second part of Article 3 of the Treaty contains an undertaking by the State which proposes to submit an application to notify its intention within one year from the date of the above-mentioned decision. As there had been no decision with final effect, there could be no such notification. The notification contained in the note by the Belgian Legation in Sofia addressed to the Bulgarian Prime Minister and Minister for Foreign Affairs on June 24th, 1937, refers to the judgment delivered by the Sofia Court of Appeal on March 27th, 1937.

With regard to paragraph 4 of Article 37 of the Treaty, I think that the words "*proceedings pending at the expiration of the current period of the Treaty shall be duly completed*" refer to proceedings validly instituted, that is to say that paragraph 4 of Article 37 refers to proceedings instituted in conformity with Article 3.

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The above considerations have led me to conclude that the preliminary objection to the Court's jurisdiction lodged by the Bulgarian Government and based on the Treaty of conciliation, arbitration and judicial settlement, concluded between Belgium and Bulgaria on June 23rd, 1931, is well-founded.

(Signed) URRUTIA.